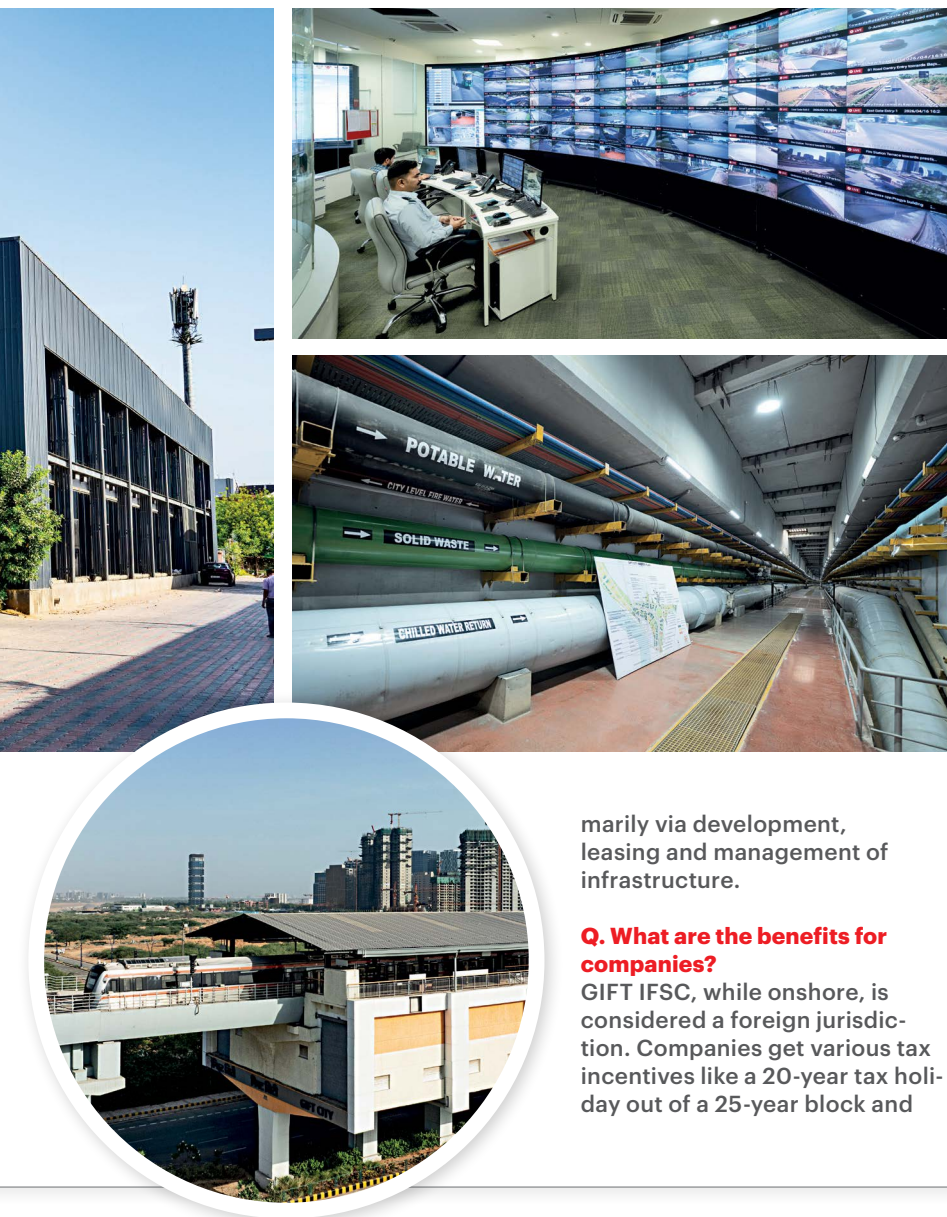




marily via development, leasing and management of infrastructure.

Q. What are the benefits for companies?

GIFT IFSC, while onshore, is considered a foreign jurisdiction. Companies get various tax incentives like a 20-year tax holiday out of a 25-year block and

a foreign currency settlement system that allows a real-time mechanism for settling foreign currency transactions that earlier used to take two-three days. There is a unified regulator in International Financial Services Centres Authority.

Q. Who all can invest?

Indians who wish to invest abroad can transfer up to \$250,000 under LRS (liberalised remittance scheme) each year through several asset managers who have AIFs (alternative investment funds) that invest in foreign jurisdictions. Foreign investors and non-resident Indian can also invest in India.

NRIs also buy insurance through GIFT City insurance entities. Doors have also been opened for foreign companies from a few jurisdictions to list on exchanges in GIFT City or raise capital via bonds.

Q. What are the various areas of interest that are being promoted in GIFT City?

Banking, fund management, capital market intermediaries, market infrastructure institutions, insurance, aircraft and ship leasing, biotech, fintech and tecfin are some of key areas that are being given a push. Doors have also been opened for foreign universities.

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direct equity of Indian and foreign companies, mutual fund offerings, and increased tie-ups with international brokers.

Fund houses are also trying to tap into the large NRI audience.

THE GLOBAL SCENE

IFSCA wants GIFT to become a platform where foreign investors can use the structures here to

invest globally. "The tax and policy structure will enable a foreigner to invest in a structure here and from this structure to anywhere in the world. So, global in, global out. It has started in a small way. We believe this will grow as trust and confidence builds up," K. Rajaraman, the chairperson of IFSCA, tells *BT*.

A key enabler of the growth over the past five years has been the es-

tablishment of IFSCA as a common regulator, operational since April 2020. It consolidates powers earlier divided among RBI, Sebi, insurance regulator IRDAI, and the PFRDA.

The benefits to investors include a 10-year income tax holiday out of a 15-year block, extended to 20 consecutive years out of 25 years in the Budget this year. There is no securities transaction tax